Case Study: UPI / Online Payment Fraud

UPI (Unified Payments Interface) fraud is a common type of cybercrime in which attackers trick users into transferring money or revealing sensitive banking details. This type of fraud has increased rapidly due to the widespread use of digital payment apps.

Typically, the fraud begins when the victim receives a phone call, SMS, or message claiming to be from a bank official, customer support agent, or even a buyer on an online marketplace. The attacker creates urgency and asks the victim to click on a malicious link or approve a “collect request” on their UPI app. In some cases, victims are told they will receive money, but instead they unknowingly authorize a payment. Once the victim enters their UPI PIN, the money is instantly transferred to the attacker’s account.

Students, elderly individuals, and people unfamiliar with digital payments are the most common targets, as they may not fully understand how UPI transactions work.

The consequences of such fraud include financial loss, emotional stress, and loss of trust in digital platforms. Since UPI transactions are instant, recovering money is often difficult.

This crime can be prevented by never sharing UPI PINs, avoiding unknown links, and verifying requests before approving any transaction.